26 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

In a 60 Minutes interview aired Sunday, Assistant RBA Governor Hunter suggested the RBA was “not quite yet” done fighting inflation, noting signs that higher oil prices are becoming embedded in some supply chains. Attention now turns to Wednesday’s CPI release.

Global equities remained under pressure from the unwinding AI trade and elevated oil prices.

US Treasury yields edged higher as some of Thursday’s safe-haven rally unwound, with elevated oil prices adding to inflation concerns.

The US dollar regained some ground, although the AUD extended its weekly advance against the greenback.

Oil prices extended their rally amid ongoing hostilities and speculation around renewed US strikes on Iran, with Brent posting its highest close since late April. Gold fell below US$4,000/oz, while industrial metals staged a recovery.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.9	0.0%
AUD/USD	0.7025	0.1%
AUD/JPY	110.24	0.2%
AUD/GBP	0.5251	0.2%
AUD/NZD	1.2338	-0.1%
AUD/EUR	0.6258	0.0%
AUD/CNH	4.6851	0.0%
AUD/SGD	0.8976	0.1%
AUD/HKD	5.5106	0.2%
AUD/CAD	0.9860	0.3%
EUR/USD	1.1225	0.1%
USD/JPY	156.90	0.1%
USD Index	101.81	0.2%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.69	0.00
90 day BBSY	4.87	-0.02
180 day BBSY	5.23	-0.02
1 year swap	4.95	0.03
2 year swap	4.91	0.04
3 year swap	4.89	0.05
4 year swap	4.89	0.03
5 year swap	4.92	0.03
6 year swap	4.96	0.04
7 year swap	5.00	0.04
8 year swap	5.05	0.03
9 year swap	5.09	0.04
10 year swap	5.13	0.04

Equities	Close	Change
S&P/ASX 200	8,795	0.0%
S&P 500	7,624	-0.5%
Japan Nikkei	62,693	-0.3%
Hang Seng	23,093	0.7%
Euro Stoxx 50	6,068	-0.3%
UK FTSE100	10,690	-0.3%
VIX Index	19.45	2.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.84	-0.07
10 year bond	5.16	-0.09
United States		
3-month T Bill	4.03	-0.01
2 year bond	4.68	0.04
10 year bond	4.99	0.04
Other (10 year yields)		
Germany	3.35	0.01
Japan	2.81	-0.06
UK	5.36	0.03

Commodities	Current	Change
CRB Index	418.60	0.0%
Gold	3996.10	-0.7%
Copper	14322	1.7%
Oil (WTI futures)	103.27	3.8%
Coal (coking)	266.00	0.0%
Coal (thermal)	156.85	0.4%
Iron Ore	90.35	0.7%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.22	0.05
3 yr bond	4.89	0.05
3 mth bill rate	4.77	0.00
SPI 200	8,774	-0.5%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets remained subdued on Friday, with the key themes from Thursday's session carrying over at a more modest pace. The AI trade continued to unwind, while risk sentiment was further weighed down as Brent crude rose to its highest level in nearly six months.

Over the weekend, Assistant RBA Governor Hunter suggested in a 60 Minutes interview that the RBA was "not quite yet" done fighting inflation. The comments came alongside an indication that higher oil prices associated with the US-Iran conflict are becoming more embedded in some supply chains. The remarks could shift market pricing for a November move at today's open, ahead of Wednesday's CPI release and an appearance by senior RBA officials before parliament on the same day.

- AI-related caution and the continued rise in oil prices weighed on US equities. The S&P 500 fell 0.5% on Friday, leaving the index 0.5% lower over the week. The Dow Jones underperformed, falling 1.2%, while the NASDAQ declined 0.2%. European equities also weakened, with both the Euro Stoxx 50 and FTSE 100 down 0.3%.
- Asian markets were mixed, although the broader unwind in the AI trade continued before losses were pared later in the session. The Nikkei 225 fell 0.3%, while the KOSPI and Hang Seng reversed earlier losses to gain 0.3% and 0.7% respectively. Locally, the ASX 200 was little changed, ending the week 0.2% lower overall.
- Some of Thursday's strong rally in US Treasuries unwound on Friday as elevated oil prices returned inflation concerns to focus. Both the 2-year and 10-year Treasury yields rose 4bps. Futures markets remain cautious about pricing further Fed tightening in 2026, although a December hike is priced at 85%, taking the implied year-end fed funds rate to 4.09%. Japanese government bonds continued to benefit from safe-haven demand, with the 10-year JGB yield falling 6bps.
- Australian government bond yields tracked Thursday's broader global bond rally, with the 3-year yield falling 7bps and the 10-year yield declining a steeper 9bps. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 59%, taking the implied year-end cash rate to 4.80%.
- The US dollar regained some ground, with the DXY up 0.2% on Friday. The AUD nevertheless gained 0.1% to 0.7025, taking its weekly advance against the greenback to 1.2%. Among other major currencies, the sterling fell 0.2% and the yen declined 0.1%, while the euro gained 0.1% against the USD.
- Oil prices extended their gains on Friday amid ongoing hostilities and speculation around the possibility of renewed US strikes on Iran. Brent rose 3.1% to US$117/bbl, its highest close since late April, taking its weekly gain to 6.2%. WTI gained 3.8% to US$103/bbl, while Dated Brent traded at US$128/bbl. Gold fell 0.7% as higher oil prices fuelled inflation concerns, with the precious metal closing below US$4,000/oz for the first time since July. Industrial metals recovered on Friday, with copper up 1.7%, aluminium gaining 1.1% and iron ore rising 0.7%.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Sep	-0.1pts	-0pts
1:30	US Dallas Fed Manufacturing Oct	8.4pts	9.8pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US University of Michigan consumer sentiment was revised up from 46.3 to 48.0 in the final estimate for October, leaving sentiment broadly unchanged from September. Current conditions are still reported as weaker in October, but expectations edged up. 1-year and 5-year inflation are little changed from September at 4.7% and 3.5%.

The **US S&P Global manufacturing PMI** was broadly unchanged at 56.0 in October, according to the preliminary read. The **services PMI** meanwhile edged down from 58.8 to 57.9.

The **Euro Area S&P Global manufacturing PMI** edged down from 52.9 to 52.4 in October as the **services PMI** fell from 53.0 to 51.7.

The **UK S&P Global PMI** edged up from 51.9 to 52.8 in October while the services measure lifted from 52.1 to 53.1.

GfK consumer confidence deteriorated in October from -13 to -24, the latter in line with the average of the past 5 years.

UK retail sales disappointed in September, falling 0.4% in the month and leaving annual growth at just +0.8%yr. Ex auto fuel, sales were weaker in the month, down 0.7%, but still 0.8% higher than a year ago. Holding up the annual rate was a modest upward revision to August.

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Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

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